HOWDEN JOINERY LIMITED

DIRECTORS' REPORT AND FINANCIAL STATEMENTS

FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

REGISTERED NUMBER : 526923

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HOWDEN JOINERY LIMITED
DIRECTORS' REPORT

The directors have pleasure in submitting their report and the audited financial statements of the Company for the 53 weeks ended 30 December 2006 (2005 52 weeks)

BUSINESS REVIEW AND PRINCIPAL ACTIVITIES

The Company is a wholly owned subsidiary of Galiform Plc (previously MFI Furniture Group Plc), and operates as part of the Galiform Plc's Trade division The Company's principal activities are the supply to tradesmen of kitchen cabinetry and associated products There have not been any significant changes in the Company's principal activities in the period under review The directors are not aware, at the date of this report, of any likely major changes in the Company's activities in the next year

As shown in the Company's profit and loss account on page 7, the Company's sales have increased by 9% over the period year and profit after tax has similarly improved from £22m to £80m The profit for the financial period as shown in the profit and loss account on page 7 amounted to £80m The directors are not recommending a final dividend to be paid

The balance sheet on page 8 of the financial statements shows that the Company's financial position at the end of the year is, in both net assets and cash terms, consistent with prior years Details of amounts owed from the parent and other group companies are shown in notes 11 and 12

Outlook

The trend from 'Do it Yourself' to 'Done for You' continues to be reflected in the favourable market conditions that Howden Joinery is experiencing The positive effect of the maturing of depots opened since around 2000 will be constrained by the planned opening of around 60 new depots There are also a relatively low number of depots going through the rapid growth that is typically seen in years three and four of a depot's life

Howden Joinery is a very strong business It has been built from nothing to a turnover approaching £700m and 180,000 customer accounts in 11 years A key element of Howden Joinery's success is that customers are repeat buyers Now it has the potential to generate very good returns in a strong market driven by the move from DIY to DFY – Done for You

Current Year

Howden Joinery's business model is both sound and hard to copy Each depot is a local business that creates long-term, personal relationships with local builders The Company's special skill is to make sure the right products are always available to customers – at the right price – so they can serve their customers successfully, time after time That requires Howden Joinery to be expert at co-ordinating the supply, storage and sale of the many components needed to build a kitchen Time is critical in this business, and in the customers' businesses, because no home can function for long without its kitchen

Success for Howden Joinery is all about meeting the needs of its customers, and that means the need to stay up-to-date with the way people's tastes and attitudes are changing Right now more people are looking for sophisticated door and drawer frontals Howden Joinery's customers must feel confident that what the Company provides for them to sell and install, meets increasingly onerous legal, quality, health and safety requirements Howden Joinery thrives because it knows how to meet these challenges

In February 2006 the Company wanted to open around 30 new Howden Joinery depots before the end of the year, and the forecast was then increased to 40 in July To put that in perspective, 20 depots were opened in 2004 and 22 in 2005 Howden Joinery met its target of 40 in 2006 and the Company now has 382 depots in total in the UK The intention is to open 60 new depots in 2007

The contribution the Supply business, Howden Kitchens, makes to the success of Howden Joinery should not be underestimated The timely delivery of product to the depots, and the cost effective manufacturing of the rigid kitchen cabinets is crucial to the business model Howden Kitchens now manusfactures carcasses and worktops-one of its core competencies, and buys in kitchen fascias and own label appliances This streamlined approach enables Howden Joinery to introduce less expensive products that are absolutely up-to-date from a design viewpoint In short, the supply chain is now delivering products that are quicker, cheaper, better and more reliable

To help market awareness, a show house is being used to demonstrate the Company's latest products A property is bought, which is in need of renovation, with Howden Joinery products then being installed Once completed customers will be shown around, and eventually the show house is sold at a profit with the proceeds being reinvested in another house This combines entrepreneurialism and good common sense

Howden Joinery's relationship with the Leonard Cheshire foundation continues to strengthen Leonard Cheshire is the largest voluntary body providing support to disabled people in the UK Like Howden Joinery, it is a national organisation that serves local people and is always very much part of the local community Not only does the Company give financial support to the foundation, but it is also working to design, develop and install bespoke kitchens in a number of Leonard Cheshire homes across the country

This experience has enabled the new 'Inclusive' range to be developed, which is aimed at people who have specific physical needs The range is available at Howden Joinery depots and has great potential, with customers eager to see better products and services Generally builders have limited experience in this area, so a guide has been introduced to help customers meet the needs of the many thousands of people and organisations who require a bespoke approach

Future Growth
If another depot was never opened, the Company could still look forward to (i) good like-for-like growth from mature depots, (ii) a seven year maturity curve from ones that have been open for a while, and (iii) incremental growth from new depots And this is before taking into account the overall market dynamics, in particular the shift from DIY to DFY

There are other ways Howden Joinery can grow

- Develop the range of products offered and respond faster to fashion and design trends in new products
- Target larger customers such as developers and housing associations
- Test new geographical market areas
- Work on meeting seasonal demand
- Find ways to increase margin while continuing to deliver exceptional local commercial prices to the Company's trade customers
- There is enormous value waiting to be unlocked

A critical area for Howden Joinery as it grows is culture – the unique way customers are served and the Company works No other business in this market gets close to the spirit and attitude shown in the Howden Joinery depots

Finally trust plays a vital role in this Howden Joinery trusts its depot managers to tailor their stock selections to local needs, to manage stock efficiently, to market effectively to customers, and to develop a motivated team whom customers know and trust The financial incentives for depot managers and teams are excellent, and within Howden Joinery, we all know that keeping customers happy is good for everyone

PRINCIPAL RISKS AND UNCERTAINTIES

The future success of the Howden Joinery business depends on maintaining the culture and business model as the Company grows The Company needs to preserve the decentralised business model which allows depot managers to flex their requirements to suit the needs of their customers, and increases the entrepreneurship which is part of the Howden Joinery culture

The Group risks are discussed in the Group's Annual Report which does not form part of this report

SOCIAL & EMPLOYEE ISSUES

Howden Joinery recognises the voluntary actions that the Company must undertake, over and above compliance with legal requirements, to address the interests of a wider society, along with normal business interests Howden Joinery also appreciates that the business is fundamentally built on relationships with customers, suppliers and employees, and accordingly strives to act in a socially responsible manner in all these associations

Environment
Howden Joinery recognises the importance of its environmental responsibilities, and in conjunction with its fellow Group companies, monitors its impact on the environment, and designs and implements policies to reduce any damage that it may be causing The Company operates in accordance with Group policies and initiatives, which are described in the Group's Annual Report

Employees
The 'Respect for all' programme was launched in 2004 and enables everyone to gain a good understanding of people as individuals and develops effective ways to attract and develop great employees Training and development is critical to this, and the Company provides employees with plenty of opportunities to develop their skills, knowledge and experience

In 2006 more than £3m was invested in over 37,000 hours of training and development for employees within Howden Joinery

In 2007 a new workshop was introduced to help managers better manage difficult situations, address and avoid harassment and bullying in the workplace and find ways to avoid any unnecessary pressure being placed on employees

Forums continue to be run where employees can discuss ideas and issues There is one fundamental theme running through all of these initiatives – how Howden Joinery can improve the way customers are served This is vital to the success of the business and everyone in it

In respect of health and safety, the managers and directors at Howden Joinery are responsible and accountable for the health and safety of their employees The operating board reviews the Health and Safety strategy, issues and performance on a regular basis

Howden Joinery promotes the importance of diversity and adopts an Equal Opportunities Policy under which training and career development opportunities are available to all employees, regardless of gender, religion or race The Company is committed to meeting the code of practice on the employment of disabled people and full and fair consideration is given to disabled applicants for employment It aims to do all that is practicable to meet its responsibility towards the employment and training of disabled people and welcomes and considers fully, applications by disabled persons, having regard to their particular aptitudes and abilities It is also the Company's policy to retain employees who may become disabled while in service and to provide appropriate training

The Company participates in the Group's policies and practices to keep employees informed on matters relevant to them as employees through regular meetings Employee representatives are consulted regularly on a wide range of matters affecting their interests

Community
Howden Joinery is a national network of local businesses and each depot is very much part of the community it serves This year the depots made more than 1,200 donations to local charities, with some £350,000 *(2005 £315,000)* in cash and products given This included donations of joinery and kitchen equipment to local schools, village halls, care homes (see below), local youth groups and sports clubs or cash donations to purchase equipment and employee fund raising initiatives The Company made no political donations

Leonard Cheshire is a key community partner for Howden Joinery The foundation is heavily reliant on volunteers to provide services to disabled people in the UK and needs to recruit more than 1,000 volunteers a year from local communities to maintain this support With this in mind, Howden Joinery funded a volunteer recruitment programme for Leonard Cheshire, including a national road show that visited schools, colleges and community organisations The depots also raised money by selling their World Cup 'key huggers' and two employees gained sponsorship by running marathons Already fifteen employees have signed up to run for Leonard Cheshire in the 2007 London Marathon Two years ago Howden Joinery recognised an opportunity to work with Leonard Cheshire to research and develop an affordable, attractive and practical kitchen product for people with physical disabilities Since then ten kitchen activity centres in Leonard Cheshire homes have been created, donated and installed This has become an area of research with significant potential for ongoing product development, and the new 'Inclusive' range of bespoke products has now been launched in the depots

HOWDEN JOINERY LIMITED
DIRECTORS' REPORT (cont)

DIRECTORS

The directors of the Company who served throughout the period, except as noted were

M Ingle
C A Youell
K Sims (resigned 20 January 2006, re-appointed 2 May 2006, resigned 1 January 2007)
M Robson

No director held any beneficial interest in the shares of the Company or any other Group company at any time during the period, with the exception of the following

Beneficial interests of the directors, including family interests, in the share capital of the ultimate holding company, Galiform Plc, formerly MFI Furniture Group Plc, at 30 December 2006 and 24 December 2005 are disclosed in the accounts of that company except those set out below

	At 30 December 2006		At 24 December 2005	
	Ordinary shares of 10p each		Ordinary shares of 10p each	
	Shares in issue	Share options	Shares in issue	Share options
CA Youell	Nil	429,611	Nil	432,286
K Sims	35,140	336,840	14,334	462,163

The options outstanding are exercisable at prices between 42p and 180p

The interests of M Ingle and M Robson have been disclosed in the Annual Report

K Sims also held a beneficial interest in the Galiform Sharesave scheme in common with all members of the scheme At the year end, the scheme held 1,940,063 shares *(2005 3,164,167 shares)*

The Directors also held a beneficial interest in the All Employee Share Incentive Plans in common with all members of the scheme At the year end, the scheme held 941,942 shares *(2005 1,770,888 shares)*

Under the terms of the Senior Managers Co-Investment Plan, CA Youell had 18,108 conditionally held shares with Galiform Plc granting 27,162 matching shares Under the same plan, K Sims beneficially held 23,306 conditionally held shares with Galiform Plc, granting 34,959 matching shares The Senior Managers Co-investment Plan offers 1½ matching shares for every share held in the plan by a senior manager, conditionally vesting after three years

SUPPLIER PAYMENT POLICY

It is the Company's policy on payment of suppliers to agree terms of payment prior to commencing trade, and to abide by those terms on a timely submission of satisfactory invoices The number of days purchases outstanding for payment by the Company at the year end was 20 days *(2005 6 days)* In 2005 the payment of direct suppliers was undertaken by Group and trade creditors were accounted for in the Group balance sheet and not within the Company's balance sheet

AUDITORS

The directors at the date of approval of this report confirm that

- so far as the directors are aware, there is no relevant audit information of which the company's auditors are unaware,
- the directors have taken all the steps they ought to have taken as directors in order to make themselves aware of any relevant audit information and to establish that the company's auditors aware of that information

The confirmation is given and should be interpreted in accordance with the provisions of s234ZA of the Companies Act 1985

Pursuant to a shareholders' resolution passed during the year, the Company is not obliged to re-appoint its auditors annually and Deloitte & Touche LLP will therefore continue in office

REGISTERED OFFICE

The company's registered office is International House, 66 Chiltern Street, London, W1U 4JT

STATEMENT OF DIRECTORS' RESPONSIBILITIES

The directors are responsible for preparing the financial statements in accordance with applicable law and regulations

Company law requires the directors to prepare financial statements for each financial year Under that law the directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards and applicable law) The financial statements are required by law to give a true and fair view of the state of affairs of the company and of the profit or loss of the company for that period In preparing these financial statements, the directors are required to

- select suitable accounting policies and then apply them consistently,
- make judgements and estimates that are reasonable and prudent,
- state whether applicable accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements, and
- prepare the financial statements on the going concern basis unless it is inappropriate to presume that the Company will continue in business

The directors are responsible for keeping proper accounting records which disclose with reasonable accuracy at any time the financial position of the Company and to enable them to ensure that the financial statements comply with the Companies Act 1985 They are also responsible for the system of internal control, safeguarding the assets of the company and hence for taking responsible steps for the prevention and detection of fraud and other irregularities

By Order of the Board

G M Hughes
Secretary

13 July 2007

INDEPENDENT AUDITORS' REPORT TO THE MEMBERS OF HOWDEN JOINERY LIMITED

We have audited the financial statements of Howden Joinery Limited for the 53 week period ended 30 December 2006 which comprise the Profit and Loss Account, the Balance Sheet, and the related notes 1 to 19 These financial statements have been prepared under the accounting policies set out therein

This report is made solely to the company's members, as a body, in accordance with section 235 of the Companies Act 1985 Our audit work has been undertaken so that we might state to the company's members those matters we are required to state to them in an auditors' report and for no other purpose To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the company and the company's members as a body, for our audit work, for this report, or for the opinions we have formed

Respective responsibilities of directors and auditors

The directors' responsibilities for preparing the financial statements in accordance with applicable law and United Kingdom Accounting Standards (United Kingdom Generally Accepted Accounting Practice) are set out in the Statement of Directors' Responsibilities

Our responsibility is to audit the financial statements in accordance with relevant legal and regulatory requirements and International Standards on Auditing (UK and Ireland)

We report to you our opinion as to whether the financial statements give a true and fair view and are properly prepared in accordance with the Companies Act 1985 We also report to you whether in our opinion the information given in the Directors' Report is consistent with the financial statements

In addition we report to you if, in our opinion, the company has not kept proper accounting records, if we have not received all the information and explanations we require for our audit, or if information specified by law regarding directors' remuneration and other transactions is not disclosed

We read the Directors' Report and consider the implications for our report if we become aware of any apparent misstatements within it

Basis of audit opinion

We conducted our audit in accordance with International Standards on Auditing (UK and Ireland) issued by the Auditing Practices Board An audit includes examination, on a test basis, of evidence relevant to the amounts and disclosures in the financial statements It also includes an assessment of the significant estimates and judgments made by the directors in the preparation of the financial statements, and of whether the accounting policies are appropriate to the company's circumstances, consistently applied and adequately disclosed

We planned and performed our audit so as to obtain all the information and explanations which we considered necessary in order to provide us with sufficient evidence to give reasonable assurance that the financial statements are free from material misstatement, whether caused by fraud or other irregularity or error In forming our opinion we also evaluated the overall adequacy of the presentation of information in the financial statements

Opinion

In our opinion

- the financial statements give a true and fair view, in accordance with United Kingdom Generally Accepted Accounting Practice, of the state of the company's affairs as at 30 December 2006 and of its profit for the 53 week period then ended,
- the financial statements have been properly prepared in accordance with the Companies Act 1985, and
- the information given in the Directors' Report is consistent with the financial statements

Deloitte & Touche LLP

Deloitte & Touche LLP
Chartered Accountants and Registered Auditors
London

20 July 2007

HOWDEN JOINERY LIMITED
PROFIT & LOSS ACCOUNT
FOR THE 53 WEEKS ENDED 30 DECEMBER 2006

	NOTES	53 weeks to 30 Dec 2006			52 weeks to 24 Dec 2005		
		Before Exceptional Items £000	**Exceptional Items (note 5) £000**	**Total £000**	Before Exceptional Items £000	Exceptional Items (note 5) £000	Total £000
Turnover	1	**676,241**	-	**676,241**	617,776	-	617,776
Cost of sales		**(309,744)**	-	**(309,744)**	(291,413)	-	(291,413)
Gross profit		**366,497**	-	**366,497**	326,363	-	326,363
Selling and administrative costs		**(252,555)**	-	**(252,555)**	(250,878)	740	(250,138)
Operating profit		**113,942**	-	**113,942**	75,485	740	76,225
Exceptional Item - Loss on disposal of fixed assets	5	-	**54**	**54**	-	(325)	(325)
Exceptional Item – Closure of operations		-	-	-	-	(33,265)	(33,265)
Profit on ordinary activities before taxation	2	**113,942**	**54**	**113,996**	75,485	(32,850)	42,635
Tax on profit on ordinary activities	6	**(34,102)**	-	**(34,102)**	(23,892)	3,723	(20,169)
Profit for the financial period		**79,840**	**54**	**79,894**	51,593	(29,127)	22,466
Dividends	7	-	-	-	(177,000)	-	(177,000)
Amount transferred to/(from) reserves		**79,840**	**54**	**79,894**	(125,407)	(29,127)	(154,534)

The results for the 53 weeks ended 30 December 2006 and for the prior period are derived from continuing operations and include exceptional costs as disclosed in Note 5 There are no recognised gains or losses in the current and the previous period other than those included in the profit and loss account

HOWDEN JOINERY LIMITED

BALANCE SHEET AT 30 December 2006

	NOTES	30 Dec 2006 £000	30 Dec 2006 £000	24 Dec 2005 £000	24 Dec 2005 £000
Fixed assets					
Tangible assets	8	**26,579**		25,718	
Investments	9	**748**		-	
			27,327		25,718
Current assets					
Stocks	10	**63,823**		54,823	
Debtors	11	**347,459**		179,173	
Cash at bank and in hand		**13,776**		11,765	
		425,058		245,761	
Current liabilities					
Creditors amounts due within one year	12	**(271,721)**		(170,709)	
Net current assets			**153,337**		75,052
Net assets			**180,664**		100,770
Capital and reserves					
Called up share capital	14		**100,000**		100,000
Profit and loss account	15		**80,664**		770
Equity shareholders' funds	15		**180,664**		100,770

Approved by the board of directors

on 13 July 2007

M Robson
Director

1. ACCOUNTING POLICIES

The accounting policies summarised below have all been applied consistently throughout the current period and the preceding periods

BASIS OF PREPARATION

The financial statements are prepared under the historical cost convention and in accordance with applicable United Kingdom law and accounting standards

Under Financial Reporting Standard 1, the Company is exempt from the requirement to prepare a cash flow statement on the grounds that it is a wholly owned subsidiary undertaking and a consolidated cash flow statement is given in the financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The financial statements include the results for the 53 week period ended 30 December 2006 (2005 52 weeks), being the Saturday nearest to the Company's accounting reference date of 30 December

The Company is exempt from the requirement to prepare Group financial statements under s228 of the Companies Act 1985 since its results are included in the consolidated financial statements of its ultimate parent company, Galiform Plc Accordingly these accounts present information about the company as an individual undertaking and not its group

TURNOVER

Turnover represents the net value of goods and services sold to customers excluding value added tax All turnover arises in the United Kingdom

TANGIBLE FIXED ASSETS

Fixed assets are stated at cost net of accumulated depreciation Depreciation is provided to write off the cost less any residual value of tangible fixed assets over their estimated useful lives as follows

Equipment and machinery	4 – 10 years
Computer equipment, fixtures and fittings, plant and equipment	3 – 10 years

STOCKS

Stocks are valued at the lower of cost and net realisable value

TAXATION

UK Corporation tax is provided at amounts expected to be paid (or recovered) using tax rules and laws that have been enacted or substantially enacted by the balance sheet date

Deferred taxation is provided on a full provision basis, without discounting, on all timing differences which have arisen but not reversed at the balance sheet date

Except where otherwise required by accounting standards no timing differences are recognised in respect of

(a) property revaluation surpluses where there is no commitment to sell the asset, and
(b) gains on sale of assets where those assets have been rolled over into replacement assets

LEASED ASSETS

Expenditure under operating leases is charged to the profit and loss account on a straight-line basis over the period of the lease

FOREIGN CURRENCY TRANSACTIONS

Transactions in foreign currency are translated at the foreign exchange rate ruling at the date of the transaction Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are translated at the exchange rate ruling at the date Foreign exchange gains and losses are recognised in the income statement

1. ACCOUNTING POLICIES (Cont'd)

INVESTMENTS

Investments are stated at cost less any provision for impairment

PENSIONS

i) Defined benefit pension schemes

The Company participates in its parent company's group (Galiform plc) retirement benefit schemes This is a defined benefit arrangement, operating through two multi-employer defined-benefit schemes The assets and liabilities of the schemes are held separately from those of the Galiform Group The company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is in line with the guidance in FRS 17 relating to group defined benefit pension schemes

ii) Defined contribution pension schemes

During the 53 weeks to 30 December 2006, the Galiform Group began to operate a defined contribution scheme for its employees For defined contribution schemes, the amount charged to the profit and loss account in respect of pension costs and other post-retirement benefits is the contributions payable in the year Differences between contributions payable in the year and contributions actually paid are shown as either accruals or prepayments in the balance sheet

2. PROFIT ON ORDINARY ACTIVITIES BEFORE TAXATION

The profit on ordinary activities before taxation is stated after charging

	30 Dec 2006 £000	24 Dec 2005 £000
Depreciation	**4,883**	4,556
Hire of plant and machinery – rentals	**5,774**	4,405
Rent payable on property	**20,659**	17,067
Profit on disposal of fixed assets	**54**	325
Foreign exchange gain	**213**	12
Audit Fees	**90**	49

The audit fee for 2006 comprises of £80,000 for the audit of this company, and £10,000 for the audit of Howden Joinery Properties Limited, a fellow Group company The total audit fee for this company in 2005 was £80,000, of which £49,000 was charged to this company and the remainder was paid by Galiform Corporate Services Limited (formerly MFI UK Limited), a fellow Group company

3. STAFF NUMBERS AND COSTS (INCLUDING DIRECTORS)

The average number of persons (full-time equivalent) employed by the Company during the period was as follows

	30 Dec 2006 No.	24 Dec 2005 No
Depots	**3,721**	3,679
Head office	**301**	205
	4,022	3,884

The aggregate payroll costs of these persons were as follows

	30 Dec 2006 £000	24 Dec 2005 £000
Wages and salaries	**87,588**	76,338
Social security costs	**8,028**	6,876
Other pension costs	**8,796**	11,972
	104,412	95,186

4 REMUNERATION OF DIRECTORS

The emoluments of the directors were as follows

	30 Dec 2006 £000	24 Dec 2005 £000
Directors' emoluments	543	1,067
Pension costs	19	50
	562	1,117

The aggregate emoluments of the highest paid director in the 53 weeks to 30 December 2006 were £306,213 (*2005 £755,000)*) and Company pension contributions of £9,570 (*2005 £10,470*) were made on his behalf Based on normal retirement age the accrued pension of the highest paid director, should he leave employment at the end of the financial year, is £71,200 (*2005 £37,100*)

5 EXCEPTIONAL ITEMS

Profit on disposal of fixed assets
The profit on disposal of fixed assets of £54,000 (*2005 loss of £325,000*), represents net profits on disposal of plant and machinery, fixtures and fittings, and computer equipment The associated tax charge is £16,060 (*2005 credit of £23,037*)

6. TAX ON PROFIT ON ORDINARY ACTIVITIES

		30 Dec 2006 £000	24 Dec 2005 £000
UK corporation tax		35,507	21,271
Adjustments relating to prior periods		0	(7)
Total current tax		35,507	21,264
Deferred taxation	Current year	(522)	(1,095)
	Prior year adjustment	(883)	
Tax on profit on ordinary activities		34,102	20,169

There is no unprovided deferred tax in the current or prior period

Factors affecting current period corporation tax

	30 Dec 2006	24 Dec 2005
The taxation charge, as a percentage of profit on ordinary activities before exceptional items, is calculated at	29.9%	31 7%

The current period corporation tax charge is lower *(2005 higher)* than the standard rate of corporation tax in the UK (30%) for the following reasons

	30 Dec 2006 £000	24 Dec 2005 £000
Profit on ordinary activities before taxation for the period	113,996	42,635
Profit on ordinary activities before taxation for the period multiplied by the standard rate of corporation tax in the UK of 30% *(2005 30%)*	34,199	12,791
Effects of		
Expensive car allowance	(20)	1,147
Expenditure not deductible for tax purposes	110	879
Depreciation in excess of capital allowances	714	396
Share options deductions	(2)	
Capital profits not provided for	(16)	6,058
Adjustments relating to prior years	(883)	(7)
Current period corporation tax charge	34,102	21,264

6. TAXATION (continued)

Factors that may affect future tax charges
It is expected that the effective rate of corporation tax will remain at around 29 9% due to the level of expenditure not deductible for tax purposes

7. DIVIDENDS

	30 Dec 2006 £000	24 Dec 2005 £000
Interim paid – Nil pence per share (2005 135 pence per share)	-	135,000
Final paid – Nil pence per share (2005 42 pence per share)	-	42,000
Total Dividend –Nil pence per share (2005 177 pence per share)	-	177,000

8. TANGIBLE FIXED ASSETS

	Plant and machinery £000	Fixtures and fittings £000	Computer equipment £000	Total £000
Cost				
At 24 December 2005	1,579	39,653	6,203	47,435
Additions	-	5,251	624	5,875
Disposals	(127)	(135)	(427)	(689)
At 30 December 2006	**1,452**	**44,769**	**6,400**	**52,621**
Depreciation				
At 24 December 2005	1,222	16,144	4,351	21,717
Charge for the period	132	3,948	803	4,883
Disposals	(79)	(55)	(424)	(558)
At 30 December 2005	**1,275**	**20,037**	**4,730**	**26,042**
Net book value				
At 30 December 2006	**177**	**24,732**	**1,670**	**26,579**
At 24 December 2005	357	23,509	1,852	25,718

9. INVESTMENTS

	30 Dec 2006 £'000
Cost	
At 24 December 2005	-
Additions in period	**748**
Disposals in period	-
At 30 December 2006	**748**
Provision for impairment	
At 24 December 2005	-
At 30 December 2006	-
Net Book Value	
At 30 December 2006	**748**
At 24 December 2005	-

9. INVESTMENTS (cont'd)

Investments comprise shares in Group companies The principal subsidiaries at 30 December 2006 are listed below All subsidiaries are wholly owned and are incorporated in Great Britain, and registered in England and Wales, with the exception of Houdan Menuiserie, which is incorporated and registered in France In the opinion of the directors the total value of shares in these companies is not less than the amount at which they are included in the balance sheet

Subsidiary	Principal activity
Howden Joinery Properties Limited	Property management
Houdan Menuiserie	Trade kitchen furniture and joinery
Howdens Millwork Limited	Dormant company

10. STOCKS

	30 Dec 2006 £000	24 Dec 2005 £000
Finished goods for resale	**63,823**	54,823

There is no material difference between the balance sheet value of stocks and their replacement costs

11. DEBTORS

	30 Dec 2006 £000	24 Dec 2005 £000
Amounts falling due within one year		
Trade debtors	**65,279**	65,264
Amounts owed by fellow subsidiary undertakings	**276,463**	108,609
Prepayments and accrued income	**3,417**	4,405
Deferred taxation (see note 13)	**2,300**	895
	347,459	179,173

12. CREDITORS

	30 Dec 2006 £000	24 Dec 2005 £000
Amounts falling due within one year		
Trade creditors	**17,316**	4,479
Corporation tax	**35,506**	21,271
Other taxes and social security	**34,299**	30,301
Accruals and deferred income	**14,558**	13,008
Amounts owed to parent and fellow subsidiary undertakings	**170,042**	101,650
	271,721	170,709

There were no pension costs unpaid but provided for at 30 December 2006 *(2005 £564,000)*

13. DEFERRED TAXATION

	Deferred taxation £000
At 24 December 2005	**895**
Charged during the period	522
Prior year adjustment	883
At 30 December 2006	**2,300**

13. DEFERRED TAXATION (cont)

The deferred taxation asset included in debtors is analysed as follows

	30 Dec 2006 £000	24 Dec 2005 £000
Accelerated capital allowances	325	(1,372)
Other timing differences	1,974	2,267
	2,300	895

14. SHARE CAPITAL

	30 Dec 2006 £000	24 Dec 2005 £000
100,000,000 authorised ordinary shares of £1 00 each	100,000	100,000
100,000,000 allotted, called up, fully paid ordinary shares of £1 00 each	100,000	100,000

15 RECONCILIATION OF MOVEMENT IN EQUITY SHAREHOLDERS' FUNDS

	Share Capital £'000	Profit and Loss Reserve £'000	Shareholders' Funds £'000
At 24 December 2005	100,000	770	100,770
Amount transferred to reserves	-	79,894	79,894
At 30 December 2006	**100,000**	**80,664**	**180,664**

16. CONTINGENT LIABILITIES

The Company is party to a group Value Added Tax (VAT) registration with other members of the Galiform group It is jointly and severally liable for the VAT payable by those other group undertakings which, at 30 December 2006, amounted to £19 0m (*2005 £19 0m*)

In February 2006 Galiform plc refinanced its medium term debt The Company has guaranteed the obligations of other group companies under this bank facility The total amount drawn down by the Group at the current and previous period ends is shown in the Galiform Plc consolidated accounts

Members of the group have assigned UK property leases in the normal course of business Should the assignees fail to fulfil any obligations in respect of these leases, members of the Group may be liable for those defaults The number of such claims arising to date has been small and the cost, which is charged to profit and loss as it arises, has not been material

17. ULTIMATE PARENT COMPANY AND RELATED PARTY TRANSACTIONS

The Company's immediate parent company is Orchardlight Ltd and the ultimate parent company and controlling entity is Galiform Plc, formerly MFI Furniture Group Plc, both incorporated in Great Britain and registered in England and Wales

The largest and smallest group in which the results of the Company are consolidated is that headed by Galiform Plc The consolidated accounts of this group are available to the public and can be obtained from the Registrar of Companies, Companies Registration Office, Crown Way, Maindy, Cardiff, CF14 3UZ

The Company is exempt under FRS 8 from the requirement to disclose transactions with the group headed by Galiform Plc on the grounds that it is a wholly owned subsidiary

18. PENSIONS

i) Defined contribution pensions

During the 53 weeks to 30 December 2006, the Galiform Group began to operate a defined contribution scheme for its employees The Company's pension charge for the year for defined contribution pension schemes was £90,000 (2005 £Nil) There were no outstanding contributions at the period end

ii) Defined benefit pensions

The Company participates in the Galiform Plc Group retirement benefit plan (formerly the MFI Furniture Group Plc retirement benefit plan) This is a defined benefit multi-employer arrangement, which operates through two funded pension schemes which provide benefits based on the final pensionable pay of participating employees The assets of the schemes are held separately from those of the Group, being invested with independent fund managers The Company is unable to identify its share of the underlying assets and liabilities of the schemes and accordingly accounts for the schemes as if they were defined contribution schemes This is the prescribed treatment in FRS 17 *"Retirement Benefits"*

Further information about the Galiform plc defined-contribution retirement benefit schemes is available in the Galiform plc statutory accounts The latest actuarial valuation of the Group defined contribution schemes was carried out at 6 April 2005 by the scheme actuary This was subsequently rolled forward to 30 December 2006 by the actuary advising the Group, and restated on a basis consistent with market conditions at that date This exercise showed a scheme deficit at 30 December 2006 of £189 2m (2005 £297 1m), before netting off the associated deferred tax asset The roll-forward was done according to the requirements of International Accounting Standard 19 "Employee Benefits" ("IAS 19", under which the Galiform Group reports its results), rather than FRS 17 (under which this Company reports its results) However, management have no reason to believe that there would be any significant difference between a valuation under FRS17 and one under IAS 19

The Company's defined benefit pension charge for the year was £8,706,000 (2005 £Nil) There were no outstanding Company contributions of at the period end

The Group has adopted IFRS with effect from 26 December 2004, and therefore the Group consolidated financial statements disclose pension charges, assets, and liabilities in line with IAS 19 *"Employee Benefits"* The Group does not believe that there are any material differences between the net pension deficit and the pension charge under IAS 19, compared to under FRS17 It may therefore be useful to users of these accounts to consult the full IAS 19 disclosures given in the consolidated financial statements of Galiform Plc, formerly MFI Furniture Group Plc

The most recent actuarial valuation was carried out at 6 April 2005 by the scheme actuary The actuary advising the Group has subsequently rolled forward this valuation to 30 December 2006 and restated the results onto a basis consistent with market conditions at that date Further details are given in the consolidated financial statements of Galiform Plc

The IAS 19 valuation as shown in the Galiform Plc consolidated accounts shows that the plan had a deficit before deferred tax at 30 December 2006 of £189 2m before deferred tax *(2005 £297 1m)*

19. FINANCIAL COMMITMENTS

The Company's rent leases are contracted by Howden Joinery Properties Limited Howden Joinery Properties Limited bears the liability for these leases, but charges these onto Howden Joinery Limited as and when they are paid

The leases below were held centrally in 2005 and transferred to the Company in 2006

At 30th December 2006 the annual commitments under non-cancellable operating leases were set out as below

	30 Dec 2006	24 Dec 2005
	£000	£000
Plant and machinery operating leases which expire		
Within one year	655	-
Between two and five years	3,312	-
Over five years	394	-
	4,361	-